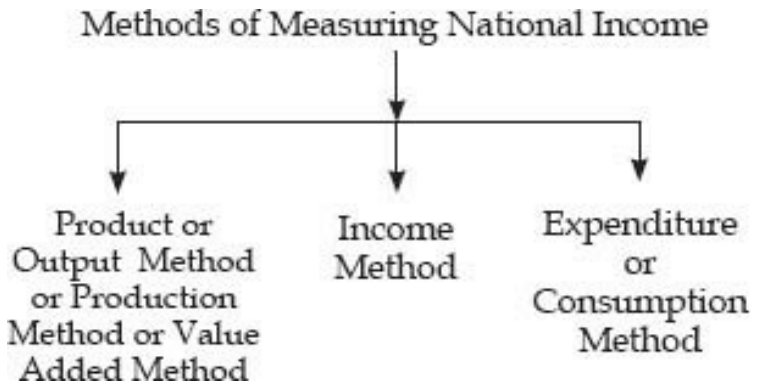
The bottom of the figure shows the flow of goods and services that are produced by business firms and demanded by the people. For the flow of goods and services produced and supplied by business firms, households pay money. Here, the value of goods and services produced (price × quantity) is equal to the expenditure incurred by households on purchase of those goods and services. Both are equal. So, the National Income can be calculated by calculating the total value of all goods and services or by compiling total expenditure incurred by the people. The former is called **Product Method (or) Output Method (or) Production Method (or) Value added method. The latter is called the Consumption Method (or) Expenditure Method.** This is shown in the following figure 2.2.

Figure 2.2



The Ministry of Statistics and Programme Implementation, Government of India, introduced a new series of national income estimation in January 2015 guided by the recommendations of the international guidelines on the subject, System of National Accounts (SNA), 2008. Let us call it, shortly, New Series.

As mentioned earlier, there are various measures of National Income. They are similar to one another and shown in the following figure 2.3.

figure 2.3.